

Busted patterns count. Over a third of the patterns will bust. A bust happens after price breaks out downward, drops no more than 10%, and recovers to close all the way above the top of the pattern. With this pattern being so tall, if it busts a downward breakout, there must be a good reason, so do your research and check the fundamentals.

Busted occurrence. For those patterns that busted, I put them into one of three bins (single, double, and more than two busts, which I call triple+) based on how many times they bust. Single busts happen most often, and my guess is that's because the three falling peaks pattern is so tall.

Busted and non-busted performance. I don't show the performance of a non-busted three falling peaks pattern because there is no such thing. However, I show the performance of busted patterns as a group (single, double, and triple+ busts) and single busted patterns.

If you want to trade a busted pattern, hope it single busts and ride price upward. The percentage measures from the top of the chart pattern to the ultimate high.

Trading Tactics

[Table 61.10](#) shows trading tactics.

Measure rule, targets. Use the formation height subtracted from the lowest low in the three falling peaks chart pattern to get a target. As an example, consider [Figure 61.6](#). The highest high is at point 1 (49) and the lowest low, point A (33), giving a height of 16. Subtracting the height from the lowest low gives a target of 17. The figure does not show it, but price met the target and continued much lower.

The bottom portion of the table shows that using the full height (as we did in this example) rarely works. Consider cutting the height in half or more and subtracting it from the breakout price to get a closer target. Ignore any target below zero.